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Consequences of market orientation for customers and employees

Carmen Barroso Castro, Enrique Martín Armario and
María Elena Sánchez del Río

*University of Seville, Dpto. de Administración de Empresas y Marketing,
Facultad de Ciencias Económicas y Empresariales, Avda. Ramón y Cajal,
Sevilla, Spain*

Abstract

Purpose – The present empirical study intends to address a significant topic for business management, such as the influence of market orientation (MO) on the internal and external environments of an organisation. More precisely, the main objective of this paper focuses on the effect of such an orientation on employees – organisational commitment and OCBs – as well as on customers – satisfaction and perceived service quality.

Design/methodology/approach – Structural equation models are employed to analyse the data collected from the Spanish retail banking sector in order to verify the hypotheses corresponding to the causal relationships proposed in our research model.

Findings – The results achieved in this research represent significant contributions both from a theoretical perspective as well as for management in the service industry. From a theoretical perspective, these findings reinforce the research position stressing the role of the employees in the MO relationship and the operational level of the business incorporating new evidence into this emerging field of study.

Research limitations/implications – Limitations of the study can account for the anomalous relationships that have been identified. First, the cross-sectional nature of the study could have been an obstacle to revealing short-term answers. In addition, the empirical study focused on one particular case in the service industry – banking – hindered the generalization of results.

Originality/value – Provides further research on the role of market orientation as a major source of achieving sustainable competitive advantage.

Keywords Market orientation, Employee attitudes, Customer satisfaction, Customer services quality

Paper type Research paper

Introduction

Over the last decade, marketing literature has acknowledged the role of market orientation (MO) as a major source of achieving a sustainable competitive advantage. Therefore, its antecedents and consequences have been widely studied (Narver and Slater, 1990; Jaworski and Kolhi, 1993; Gounaris and Avlonitis, 1996; Tuominen and Möller, 1996; Deshpandé, 1999; Matsuno and Mentzer, 2000). A vast majority of the stream concerning MO consequences have concentrated on its relationship with business performance (Narver and Slater, 1990; Jaworski and Kolhi, 1993; Slater and Narver, 1994; Doyle and Wong, 1998; Chang and Chen, 1998b; Matsuno and Mentzer 2000; Pelham, 2000; Dobni and Luffman, 2003). Yet few works have addressed other possible consequences, such as the effect of MO on the operational level of employees



(Jaworski and Kolhi, 1993; Ruekert, 1992; Lings, 2000; Piercy *et al.*, 2002; Kennedy *et al.*, 2002), or the effect of MO at a customer level (Steinman *et al.*, 2000; Webb *et al.*, 2000; Krepapa *et al.*, 2003). Furthermore, these variables may be mediators in the MO-performance relationship. This limited amount of research is somewhat surprising given that employees' attitudes and behaviours, and customer satisfaction are two central pillars that have been widely recognized in the conceptualization of MO (Narver and Slater, 1990; Kolhi and Jaworsky, 1990; Chang and Chen, 1998a, b; Krepapa *et al.*, 2003).

Different studies from the fields of marketing, as well as strategic management, have underlined the capability of creating and delivering a superior value to customers as a source of competitive advantage. Moreover, businesses developing a market-oriented culture and behaviours find it easier to generate this capability (Narver and Slater, 1990; Lings, 2000). In consequence, the aim of this study is to examine the influence of a firm's MO on customer satisfaction, while looking in depth at the role of the employees in this relationship given that their behaviour affects this perception decisively (Williams and Attaway, 1996). Companies' internal and external environments are analysed throughout the study, since service marketing literature (Grönroos, 1995; Gummesson, 1987; Piercy, 1995) and strategic management literature (Pfeffer, 1994; Andrews, 1997; Foss, 1997), have both repeatedly recognized that these should be adequately balanced within the service industry. The internal environment relates both to management and to the employees who perform the service process. The external environment brings together the customer and its needs (Figure 1).

On the other hand, most studies exploring the relationship between MO and employees have gathered perceptions of the company management regarding employees (Jaworski and Kolhi, 1993; Ruekert, 1992), and do not directly include the employees' views on their activities and behaviours. This study endeavours to overcome this limitation by gathering information from three different sources:

- (1) companies' management;
- (2) companies' employees; and
- (3) customers.

In short, it seems that the relationship between MO and business performance is much more complex than was initially thought. Therefore, the requirement for an effective establishment of MO as an organizational strategy is an aspect that has been hardly addressed by studies on this topic (Piercy *et al.*, 2002). It is also important to remark an emerging perspective in this field which suggests that a business can achieve better strategic advantages when it evaluates customers' perception of the firm's level of MO, generally by assessing the influence of MO on customer satisfaction levels (Steinman *et al.*, 2000; Webb *et al.*, 2000; Krepapa *et al.*, 2003).

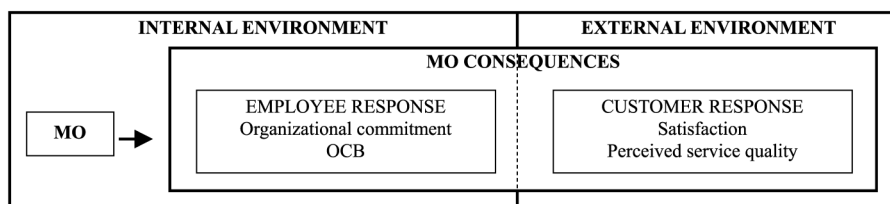


Figure 1.
MO consequences

The study is organized into three major parts. First, the emerging relationship between MO and the employees of a firm is examined, followed by the relationship between MO and the firm's customers. Finally, a study regarding the internal and external environments of the company is conducted.

Consequences of MO for employees

Recent literature in marketing shows clearly that when it comes to achieving success in an organization, it is of vital importance for its organizational culture and climate focus on satisfying the customer's needs, from top management down to the lowest level employees. Kennedy *et al.* (2002) states, consistent with earlier investigations of MO, that the true concept of marketing can only be achieved when customer-orientation is considered to be a working philosophy for all of a firm's employees. For this reason, the effect of MO at the operational level of employees has begun to appear as a latent concern in current research. Recent research such as those by Kennedy *et al.* (2002) and Brown *et al.* (2002), points out that the imbalance between the volume of research exploring the relationship between MO and a company's performance and the research concerning the effect of MO, as well as the operational level of the employees constitutes, in itself, proof of emergent interest in this stream of research.

A review of the literature reveals the existence of two different approaches with respect to the relationship between MO and the employee. The first approach does not recognize its potential importance, since it propounds that the presence of this relationship is not necessary. It does so either because it argues for the primacy of the external customer over the employee in the operation of the marketing concept (Webster, 1994; Dickinson *et al.*, 1986), or because it supports the "micropolitical" perspective, which states that the development of MO involves the higher hierarchical levels of the organization and not the lower levels (Piercy, 1989; Whittington and Whipp, 1992). The second approach defends the need to study the mechanisms for effectively implementing a business strategy. From this perspective, and from the point of view of the employees' role, Kolhi and Jaworski (1990) and Jaworski and Kolhi (1993) are considered to be pioneers in proposing and validating the positive and direct effect of MO on organizational commitment and corporate spirit. Selnes *et al.* (1996) reaches similar results. Additionally, Ruekert (1992) proposes and verifies that there is a significant positive correlation between the level of MO and employee's satisfaction and organizational commitment. Other researchers have led to similar results (Hoffman and Ingram, 1992; O'Hara *et al.*, 1991). However, a circumstance that could cause misleading results is that these studies analyse data only provided by management. In order to overcome this limitation, Siguaw *et al.* (1994) collect their information directly from the sales force, concluding that as the level of MO increases so does the level of organizational commitment.

It is necessary to understand the role played by an organization's employees in effectively establishing the MO. Postulating the contrary would lead to an important limitation in understanding and establishing suitable policies for its development. Accordingly, Piercy *et al.* (2002) indicate that the analysis of the interrelationships between the company's strategies and policies for MO, and the characteristics of the employees in terms of beliefs, attitudes, and behaviours is currently an important area of research, albeit only very occasionally studied. These authors explore this relationship in two differentiated research stages. In the first stage, an exploratory

study with the purpose of resolving any possible difficulties that could arise as a consequence of the limited research on the relationship between MO and the operational level of the organizations (case study) is conducted. The results evidence the need to measure the involved variables separately; on one hand, the perceptions of management with regard to MO and, on the other, the employees' attitudes and beliefs regarding their job. This research also demonstrates that efforts by management to develop an MO significantly affect the perceptions of employees in key aspects when it comes to the level of service, such as opinions, beliefs and behaviours. However, its results also suggest that MO and employees' attitudes towards their job (motivation, level of commitment and team spirit), form a diluted relationship, concluding that these relationships are not necessarily always present.

Kennedy *et al.* (2002) have developed the customer mind-set (CMS) construct to verify that customer orientation affects the workplace and employee performance. CMS is proposed to be positively associated with desirable outputs such as satisfaction, organizational commitment and employee performance. Findings point to the existence of a desirable relationship between MO and the commitment of employees to their organization, as well as to their satisfaction level with their job.

Nevertheless, these studies note the need for more research in this field in order to study the consequences of MO in more depth. With the general objective of looking more deeply into this field of study, this research focuses, within the internal environment, on the organizational commitment of the employees. As has been shown, studies by Kolhi and Jaworsky (1990), Ruekert (1992), Siguaw *et al.* (1994) and Selnes *et al.* (1996), as well as the more recent works of Piercy *et al.* (2002), Kennedy *et al.* (2002) and Brown *et al.* (2002) have supported the positive influence of MO on employee commitment to the firm; in many cases mediated by customer orientation and, only in particular occasions, displaying a deficient form. However, it should be underlined that the majority of the earlier studies in which some of these relationships have been tested focus almost exclusively on sales personnel (Siguaw *et al.*, 1994; Babin and Boles, 1998; Hartline and Ferrell, 1996; MacKenzie *et al.*, 1998; Singh, 1998). Despite this, it is reasonable to extend these conclusions to the rest of the employees within a service organization, given the high level of interaction between employees and customers in service companies.

Organizational commitment refers to the feeling of belonging, employees have towards the company, which consequently influences their ability to perform above and beyond expectations in achieving the company's goals. Employees feel as if the company makes up part of their "family" and are willing to continually provide supportive behaviour to uphold the company's values (Meyer and Herscovitch, 2001). This concept comprises different aspects related to the individual's attachment to the organization, along with the worker perceiving costs associated with leaving the organization, and an obligation to stay in the company. Therefore, three perspectives of commitment arise

- (1) affective or attitudinal;
- (2) continuance or calculative; and
- (3) normative (Bayona *et al.*, 1999; Shore *et al.*, 1995; Reichers, 1985).

The attitudinal perspective of commitment is the most widely adopted of the three (Zangaro, 2001), representing the strength of the individuals' identification with a

particular organization and their participation within. This makes employees wish to remain in the organization, and to do so they are willing to make considerable efforts for the organization. Continuance commitment refers to the employees being conscious of there being some costs associated with leaving the organization. Finally, normative commitment constitutes the feeling of obligation on the part of the individuals to stay with the organization because they think that this is correct and the right thing to do (Bayona *et al.*, 1999).

According to these arguments, the following hypothesis is proposed:

H1. Market orientation has a positive effect on organizational commitment

Organizational citizenship behaviours

One of the most notable consequences of commitment to the organization is the performance of employees in their work environment. Over the last few years, researchers have recognized the importance of distinguishing two types of performance: that known as “in-role” and that known as “extra-role”. In-role performance represents results connected with work output, including sales volume, commissions, etc. On the other hand, extra-role performance is fundamentally related to aspects of the individual’s behaviour (MacKenzie *et al.*, 1998). Among them, organizational citizenship behaviours (OCBS) are emphasized in this research given its notable relevance in the literature under review.

There is much evidence supporting this distinction. In the first place, research has demonstrated that upon evaluating their employees, managers keep both types of performance in mind, and these greatly influence decisions such as promotion, rewards and compensation (Mackenzie *et al.*, 1991). Similarly, Podsakoff *et al.* (2000) hold that management considers “extra-role” performance as part of the individual’s job. In addition, both types of performance have an important influence on the overall financial performance of the organization (MacKenzie *et al.*, 1998). Finally, such distinct types of performance have also different antecedents and consequences (Organ, 1990). Therefore, the weight of the empirical evidence suggests that “in-role” performance is an antecedent to job satisfaction, while “extra-role” performance is seen as a consequence (Organ, 1988, 1990). The logic supporting this causal relationship is based on the fact that employees satisfied with their job have a feeling of gratitude towards the organization and a desire to reciprocate, which manifests itself in their behaviour. On the other hand, “in-role” behaviour should be considered as an antecedent to organizational commitment, while “extra-role” behaviour is perceived as its consequence. This relationship has been widely analysed among sales staff. Thus, the individuals who are more committed to the firm want to give more of themselves with the intention of contributing to the overall well-being of the organization (Cardona *et al.*, 1999; MacKenzie *et al.*, 1998; Munene, 1995; Organ and Ryan, 1995).

Individual behaviour in the workplace has attracted a great deal of attention from researchers over the past decade. A common objective of these studies has been to define a type of individual behaviour which is believed to contribute to the long-term success of the service company, and which had previously been neglected when assessing employee performance (Dyne *et al.*, 1994). Thus, it is important for service companies to give more attention to discretionary and voluntary behaviours of contact employees, which should lead to the effective working of organizations (Yoon and Suh, 2003).

A review of the literature in this area allows the identifying of two conceptual streams regarding OCBS. Pioneer research in this field, most noticeably the studies of Organ (1988), considers OCBS to fall under “extra-role” performance, as is suggested above. However, another group of authors, among who stands out Graham (1991), suggests that OCBS constitute a construct that should be isolated from work performance and, further, as a global concept including all the relevant positive behaviours of the individuals in an organization. This approach currently treats OCBS as a multi-dimensional construct made up of three different categories correlated amongst them:

- (1) loyalty;
- (2) participation; and
- (3) obedience.

The most important aspect of the OCB construct with regard to employee performance is the framework of organizational rights and responsibilities. Organizational rights are granted to employees by the organization and organizational responsibilities are behaviours that are expected from individuals as a result of being part of a larger group such as a business organization (Bienstock *et al.*, 2003).

There are many difficulties in distinguishing between “in-role” and “extra-role” performance. First, the management’s perception may not coincide with that of the employees regarding their performance, thus, regarding what their responsibilities are; secondly, the employees’ level of satisfaction affects their perception of their responsibility and their performance level (Morrison, 1994). Nevertheless, given that the majority of the empirical studies under review start from Organ’s initial definition, this study follows this approach.

Organ (1988) defines OCBS as the behaviour among employees of an organization who seek to directly promote the effective functioning of the organization, independent of their personal productivity goals of each of them. Netemeyer *et al.* (1997) summarized the essential elements of this type of behaviour. According to these authors, OCBS is a type of behaviour that goes beyond that which is formally prescribed by the organization.

Multiple aspects of services require non-mandated employee behaviours that can be critical to customer perceptions of service. While some behaviour can be explicitly defined, many others are more abstract and are dependent on employee attitudes and motivations (Bienstock *et al.*, 2003). Also, OCBS is a type of discretionary behaviour, which is not directly rewarded or recognized in the formal structure of organizational rewards. However, OCBS is extraordinarily important for the organization’s effectiveness and success. In short, a review of the literature indicates that researchers have primarily established two motivational bases causing OCBS: employees’ attitude toward their job, and personality disposition (Bolino, 1999).

According to Podsakoff *et al.* (2000), there are various forms of OCBS. The initial proposal of Netemeyer *et al.* (1997) considers four major dimensions: sportsmanship, civic virtue, conscience and altruism. Sportsmanship is defined as the good will an employee displays in tolerating circumstances that are less than ideal without making “mountains out of molehills”. Civic virtue manifests itself in the concern of the employee in participating in the life of the company – for example, attending functions that are not specifically required. Conscience is understood to be the type of behaviour

that goes beyond the organization's own job requirements – such as working more than the established time for the good of the company. Finally, altruism reflects helpful behaviour towards others in carrying out their tasks. Occasionally, altruism and conscience have been grouped together in a dimension called helping behaviour (MacKenzie *et al.*, 1998). Current research is trying to study the nature of this type of behaviour in greater depth, grouping the actions into seven different dimensions:

- (1) helping behaviour;
- (2) sportsmanship;
- (3) individual initiative;
- (4) civic virtue;
- (5) organizational loyalty;
- (6) satisfaction; and
- (7) personal development.

Nevertheless, in accordance with other studies, the four initial dimensions of OCBS are considered in this research.

These behaviours have been classified on the basis of Organ's (1988) definition of OCB, which considers employees exhibiting such behaviours as "good soldiers" for the firm. Nonetheless, Bolino (1999) has pointed out that it is also necessary to seek further insight into the topic, given the high correlation among some of its dimensions. Altruism or conscientiousness, for example, might be actions performed in order to impress management. In some circumstances, OCB might be considered a tactic of the employee aimed at influencing those managers who are responsible for deciding future promotions and rewards. Such behaviours turn "good soldiers" (Hui *et al.*, 2001) into "good actors" within the firm.

In accordance with the aforementioned arguments, the following hypothesis is proposed:

H2. Organizational commitment is positively related to OCBS.

Consequences of MO for customers

Slater and Narver (1994) state that MO must be understood as a business culture centred on the continual creation of value for the customer. Many studies emerge from these initial proposals, suggesting that MO involves gathering information about the needs of customers and implementing strategies accordingly, and always considering the competition (Chang and Chen, 1998a, b; Krepapa *et al.*, 2003). Nevertheless, in early studies in this field, MO is considered and measured exclusively through management perceptions. Recent approaches suggest that since MO in its very concept involves a strong customer orientation, a business should be considered as market oriented only when its customers actually perceive it. In consequence, the appropriate level of a firm's MO stems from what its customers think it should have (Krepapa *et al.*, 2003; Steinman *et al.*, 2000). Therefore, MO and relationship marketing are tightly connected approaches since both emphasize that in order to obtain a sustainable competitive advantage the company should attract and retain customers by continually satisfying their needs (Steinman *et al.*, 2000).

In the service industry, the competitive advantage is fundamentally related to the company's intangible assets (Kaplan and Norton, 2001); thus, when the customer is highly committed to the service delivery process, it is necessary to develop close relationships between the company and the customer. This relationship increases the customer perceived value, and consequently such a relationship must be encouraged by the firm's MO (McNaughton *et al.*, 2002).

The study of the consequences of MO has almost exclusively focused on its final effect on the company's performance, but the way in which this relationship develops remains unexplored and requires further development (McNaughton *et al.*, 2001; Uncles, 2000; Deshpandé, 1999). This situation is even more critical in the service industry, given that the inherent intangibility of services may considerably affect this relationship (McNaughton *et al.*, 2002). Therefore, it is necessary to identify the mediating variables in the MO-performance relationship. Until now, the dominant logic has considered that MO establishes the bases of creating value for the customer, and that this strategy enables the achievement of a sustainable competitive advantage resulting in better performance (Jarwoski and Kolhi, 1993; Deshpandé *et al.*, 1993). However, this argument does not explain why a business might come to deliver value for its stockholders by trying to create greater value for its customers (McNaughton *et al.*, 2002).

Chang and Chen (1998a, b) make an extremely important contribution by identifying one of the mediating variables in this relationship. These authors develop a model in which an indirect effect of the MO-performance relationship is represented through adequate service quality. Literature on service marketing establishes that service quality is one of the variables that have a significant impact on the company's performance (Rust *et al.*, 1995; Zeithaml *et al.*, 1996). Similar evidence is provided by literature on MO (Slater and Narver, 1994; Doyle and Wong, 1998; Chang and Chen, 1998b; Matsuno and Mentzer, 2000; Pelham, 2000; Dobni and Luffman, 2003). Thus, it is relevant to look into the type of relationship existing between MO and service quality.

In this respect, an immediate effect of enhancing a company's service quality is an increase in the level of customer satisfaction. Improving service quality for the customer encourages repurchasing, attracts new customers, reduces non-essential services and, therefore, increases income while reducing costs. In short, developing effective and efficient service offerings will improve the company's performance (Chang *et al.*, 1999). Consequently, the strength of the relationship between MO and the firm's performance will strongly depend on the effectiveness and efficiency of the marketing effort. A direct indication of the level of effectiveness in the service industry is the level of service quality delivered (Chang and Chen, 1998a, b). The effort of the market oriented company closes the "gap", identified in service literature, between the company management and its customers (Zeithaml *et al.*, 1990).

Along with the arguments, the contingency theory contributes to clarifying the relationship between MO and the level of service quality. This theory establishes that there needs to be a congruency between organizational internal elements, as well as between its internal and external elements, if an organization wants to survive in the market and be profitable (Galbraith, 1977; Zeithaml *et al.*, 1988). In consequence, no universal principal can be applied to all organizations. The need for this congruency between the organization's internal and external environments brings together MO

and perceived level of quality, and has already been evidenced by Lings (2002) and Caruana *et al.* (1999) amongst others.

Nevertheless, it is reasonable to think that service quality is not the only mediator in the relationship between MO and performance. In fact, some studies conducted in the field indicate the influence of the level of service on the MO-performance relationship through an analysis of the service “gap” (Guo, 2002; McNaughton *et al.*, 2002). In any case, it seems difficult for a service business to be able to offer an adequate level of service quality if it does not orient itself towards the market (Caruana *et al.*, 1999). Thus service quality is a valid variable regarding the external environment of the company.

Once MO has been developed, the company’s ability to derive superior performance is attributed to the subsequent skills it builds which allow for a better understanding of the needs of its target market (Gounaris *et al.*, 2003). A market oriented approach may remain elusive unless the company has managed to effectively communicate the values of MO and the behaviours towards the customer that comes along with it (Harris and Ogbonna, 1999). It is necessary to understand that one important issue is winning the “hearts and minds” of operational employees if MO is to succeed (Piercy, 1997).

In short, the success of the impact of MO on the customers’ perceived service quality cannot be understood simply in terms of the characteristics of service, but also in terms of the customer’s experience of his encounter with the service provider (Gounaris *et al.*, 2003).

Service quality is a widely studied concept in literature, especially in the field of service marketing. Nevertheless, it is not a concept that can be easily defined given the evolution it has undergone over the last few years. Most contributions on the topic agree in defining it as a comparison between the customers’ expectations and their perception of the service received (Parasuraman *et al.*, 1988; Grönroos, 1990; Bigné *et al.*, 1996), pointing out that this is treated as a continual process in time (Grönroos, 1990). Additionally, despite being a highly subjective concept, similar to an attitude (Bitner, 1990; Zeithaml, 1988), there have been different approaches for measurement purposes. To begin with, the consensus existing on the multidimensionality of perceived service quality disappears upon establishing specific dimensions that define it (Llosa *et al.*, 1998).

One of the most relevant contributions in the area is a research conducted by Parasuraman *et al.* (1985), after which authors propose the measurement instrument called SERVQUAL (Parasuraman *et al.*, 1988). Despite the criticisms it has received (Teas, 1993; Cronin and Taylor, 1994), SERVQUAL has been selected to measure service quality in numerous empirical studies.

The consideration of quality as a long-term subjective construct suggests the need for an organizational culture in which the values, norms and symbols favouring the continual performance of service quality permeates the whole firm. Accordingly, Lewis and Gabrielsen (1998) argue that perceived quality requires a customer-oriented culture behind the responsible organizational behaviour of delivering such an excellent quality. Söderlund (1995) affirms that the dimensions of perceived quality can be used as dimensions of MO as long as they are ways of directing the firm towards the customer.

In conclusion, we consider the need for congruence between the internal and external environment of the firm, as authors such as Caruana *et al.* (1999), Guo (2002),

Tsai (2003), Agarwal *et al.* (2003), Gounaris *et al.* (2003) and Lings (2004) have already argued. We also demonstrate that this balance becomes evident at the moment that the MO is effectively communicated throughout the firm and, as a result, the behaviour of the employees at the “moment of truth” allows the customers to perceive its effectiveness, taking the level of service quality as the main indicator.

Taken these arguments into account, the following hypothesis is proposed:

H3. Market orientation is positively related to a customer’s perceived service quality.

The literature indicates that service quality and customer satisfaction are two different variables albeit closely related (Bansal and Taylor, 1997; Spreng and Mackoy, 1996; Dabholkar, 1993, 1995a, b; Taylor and Baker, 1994). Evidence of their strong relationship is proved by how often consumers find it difficult to differentiate them (Dabholkar *et al.*, 1996). Parasuraman *et al.* (1988) state that the difference between them lies in the fact that service quality is a global evaluation, while satisfaction tends to be related to a specific purchase. This means that satisfaction involves a single and non-continual relationship with the business (Larrea, 1991), while service quality should be analysed from a long-term perspective. Anderson *et al.* (1994) consider that satisfaction requires previous consumption experience and depends on price, whereas quality can be perceived without previous consumption experience and does not normally depend on price, although in circumstances where there is little available information or where quality evaluation is difficult, price can be an indicator of quality.

With respect to the relationship between the two variables, there is a lack of consensus in literature and among research about the casual link between the two construct. While some authors claim that customer satisfaction is an antecedent of perceived quality (Bitner, 1990; Carman, 1990), others scholars agree in placing service quality as an antecedent to satisfaction (Cronin and Taylor, 1992; Zeithaml *et al.*, 1996; Bitner and Hubbert, 1994; Spreng and Mackoy, 1996).

As we explained earlier, for Parasuraman *et al.* (1994), this controversy derives from the type of transaction that is being evaluated, namely, whether it is a specific transaction or the result of cumulative experience. However, these authors argue that, from the theoretical point of view, the customer’s perceived service quality is an antecedent to satisfaction when both constructs are measured in the context of a specific transaction. The recent studies by Beerli *et al.* (2004), Dabholkar *et al.* (2000), Caruana (2002) and Sureshchandar *et al.* (2002) put forward the same argument.

According to these arguments, the following hypothesis is proposed:

H4. Perceived service quality is positively related to customer satisfaction.

Linking the internal and external environments of the company

As previously indicated, the contingency theory points out the need for the internal and external environments of a company to be congruent in order to achieve market profitability (Galbraith, 1977; Zeithaml *et al.*, 1988). Literature on service has sufficiently documented that customers final perceptions of the service quality delivered by the firm is conditioned by the behaviours and attitudes of its personnel (Lings, 2004; Hartline and Jones, 1996; Bitner, 1990; Avkiran, 1999). Furthermore, earlier research indicates that only when the needs of the customer service personnel

are taken care of will they be motivated to satisfy customer needs (Rosenblunth and Peters, 1994; Grene *et al.*, 1994). According to this reason, a significant contribution of this research is to explore the relationships among the variables involved in the internal and external environments of the business.

The positive contribution made by OCBS to the organizational performance is reasonably accepted in service literature (Podsakoff and MacKenzie, 1994, 1997; Podsakoff *et al.*, 2000), yet it is still necessary to look more deeply into this field. In this respect, one of the most valuable results for management in the service industry has been to understand the contribution of OCBS towards perceived service quality. To date, this relationship has received important theoretical support (Morrison, 1996), although only little empirical support (Kelly and Hoffman, 1997).

The majority of researchers have addressed the interrelationship between employees and customers starting from the affective and cognitive antecedents of perceived service quality. Thus, many studies have focused on what is known as customer-oriented behaviour. Customer-oriented behaviour is a central pillar of MO where the value of the employees is not discussed. However, it is certainly possible to discuss whether employees' customer-oriented behaviours are sufficient to generate better perceptions or even customer delight. Thus, potential antecedents to perceived service quality should be studied in more depth. In short, academics should study how to achieve an adequate level of perceived service quality (Bell and Menguc, 2002). In this respect, there are two fundamental reasons for supporting the positive relationship between OCBS and service quality as perceived by customers and their level of satisfaction. In the first place, OCBS can have an immediate or direct effect derived from the interaction between the employee and the customer. In the service encounter, employees are performers rather than workers, and their behavioural performance is a major part of service quality that customer perceive (Yoon and Suh, 2003). Secondly, a positive effect can be achieved through the impact on the organization's internal work factors, including in this group the work environment, service climate and consistency in the service process. Furthermore, within these last factors lies the difference between this variable and customer orientation (Bell and Menguc, 2002). Therefore, OCBS directly and indirectly contribute to create higher levels of perceived service quality (Morrison, 1996).

Regarding direct effects, OCBS captures many of the essential behaviours described in service marketing literature that is necessary to achieve higher benefits. Service marketing literature indicates the need for employees to develop both suitable role behaviours and additional discretionary behaviours in order to achieve high levels of service quality. In addition, employees displaying behaviours defined by OCBS are capable of promoting high levels of service quality through their tendency to help customers make a better decision. The theory of socialization also helps explain this relationship. Here, the process of the individual's socialization in the organization encourages the acclaimed dimensions of OCBS to be brought up-to-date in behaviours pursuing the best results for the customer (Netemeyer *et al.*, 1997). The second reason to justify the relationship between OCBS and perceived service quality is based on their impact on the internal aspects of the organization. Thus, OCBS promotes teamwork, ease communication between employees and management, improve the work environment and achieves high rates of employee retention. In consequence, employees who develop this type of behaviour usually help other employees to deliver

service quality, i.e. they are good candidates for encouraging and carrying out quality initiatives in the organization (Hui *et al.*, 2001).

Based on the above arguments, the following hypotheses are proposed:

H5. OCBS is positively related to perceived service quality.

H6. OCBS is positively related to customer satisfaction.

Consequences
of market
orientation

657

Methodology

Scope of the study

In order to test the hypotheses proposed previously, an empirical study that is quantitative in nature has been conducted. The financial sector, specifically in the Spanish retail banking industry, has been selected for the empirical research. The changes occurring in this area (greater competition and more demanding customers have made service quality a current competitive weapon) and the service itself (strong employee-customer contact) have promoted the application of general marketing concepts. In the same line as the studies of Hallowell (1996) and Narver and Slater (1990), behaviours in the offices of a single financial institution are explored. Similarly, two units of analysis are contemplated. The first level refers to the bank branch where the opinions of the executives (on MO) and of the employees (on their commitment to the organization and their civic behaviour) is collected. The second level is composed by customers and their perceptions on service quality and satisfaction with the service provider.

Sample and data collection

The financial institution that is the subject of our study has currently 319 offices in two major provinces in Spain. Following the convenience sample procedure and in accordance with the company's top management it was decided to select only those offices located in cities with over 10,000 inhabitants, which redefined the sample to 106 offices. In each of these offices, information regarding the opinion of the director, of the employees and a sample of customers provided the latter considered the office in question as their principal bank and the one in which they carried out most of their banking transactions (Table I), was gathered. A total of 184 employees and 3,623 customers were interviewed during March, April and May, distributed among the 106 branches according to their size. Customers were approached by the interviewer before contact with the employee took place. Data was collected for 1 h, 5 days a week, at a different time each day, with a minimum requirement of 30 responses from each

Geographic area	No. of offices	No. of directors	No. of employees	No. of customers
City I	57	55	100	1,916
Province I	27	26	48	944
City II	11	10	21	379
Province II	11	9	15	384
Total	106	100	184	3,623

Table I.
Distribution of offices
and questionnaires from
staff and customers

branch. According to the size of the branch office, at least two employees were chosen from those whose jobs involved the greatest customer contact.

Personal interviews were carried out in the office itself using three questionnaires adapted to each of the three groups. The first questionnaire gathered the opinions of the top executives about their office's MO; the second captured perceptions of employees on civic behaviour (OCBS) and their commitment to the organization; the third collected the opinion of customers from each branch on the quality of the service they received and their level of satisfaction with that service. The fieldwork was conducted over the first quarter of 1999, leaving a final useful sample of 94 banking offices.

Measurement scales

Measurement scales are chosen on the basis of two criteria: consistency with the theoretical approach followed, and psychometrical properties already validated in other empirical research. Although there is currently a lack of consensus about the most suitable scale to measure MO (Uncles, 2000), the present study adopts the 15-item MKTOR scale (Narver and Slater, 1990) basing this decision on the following arguments:

- it is suitable to the goals of the investigation since it focuses on the customer and the competition (Verhees, 1998);
- it is appropriate for evaluating the company's current commitment to its customer base (Gauzente, 1999); and
- it has better reliability, validity and unidimensionality (Farrell and Oczkowski, 1997).

To measure the organizational commitment of the employees, the Jaworski and Kolhi (1993) scale of seven items is selected instead of other alternatives due fundamentally to the fact that there are no appreciable differences among the different tools and the Jaworski-Kohli scale has fewer items. Similarly, the scale proposed by Netemeyer *et al.* (1997) is selected to measure employees' OCBS. These authors, starting from the work of MacKenzie *et al.* (1993), develop a scale of 12 items to collect the four dimensions they identify in this construct: "sportsmanship" (three items), "civic virtue" (three items), "civic conscience" (three items) and "altruism" (three items).

Initially the SERVQUAL scale (Parasuraman *et al.*, 1988) in the modified version that the authors proposed in 1991, was chosen for measuring service quality. Nevertheless, since service quality is an endogenous variable in the empirical study, following the recommendations of Zeithaml *et al.* (1996) only the perception scale (SERVPERF) and not that of expectations is estimated. In conclusion, the perception scale that we used contains 22 items grouped into five dimensions: "tangibility" (four items), "reliability" (four items), "responsiveness" (four items), "security" (four items) and "empathy" (five items). Finally customer satisfaction was evaluated with the scale proposed by Maloles (1997). This one-dimensional scale consists of nine items that has been slightly reworded to adapt it to the banking industry.

Data analysis overview

Selection of statistical techniques in any research study depends on the objectives being pursued. In the present study, since the main objective is to establish cause-effect relationships among the different variables involved, structural equation modeling

(SEM) is applied. The strategy of model development is performed in such a way that the reviewed literature serves as a point of departure, as well as the measurement model and the structural model help to re-specify the model initially proposed. Following the sequence recommended by Anderson and Gerbing (1988), first measurement models are analysed. Reliability and validity of the scales are estimated before the evaluation of the structural model depicting the relationships between the variables considered in the study.

Data analysis and results

Measurement model

The scales' reliability and validity are assessed conducting a confirmatory factor analysis. Specifically, *Crombach's* α is estimated to test internal consistency, whereas R^2 accounts for each item's reliability, and, finally, composite reliability and extracted variance of each construct are also calculated in order to test reliability of the measures. Convergent validity is examined looking at standardized loadings of the items, along with their critical ratios, while discriminant validity is assumed to exist between two constructs when their squared correlation is lower than their extracted variances (Tables II and III).

The results of the aforementioned process are displayed in Tables III and IV. Hence with respect to the MO scale, *Crombach's* α and CFA results suggest redefining items MO2, MO6, MO7, MO11, MO14, and MO15. Values of the α coefficient (superior to 0.7), the R^2 of the items (superior to 0.4), the extracted variance (superior to 0.5) and the reliability of the construct (superior to 0.6) reveal that this scale is reliable and has adequate internal consistency. Similarly, the standardized loading values (superior to 0.4) and the critical coefficients of the items (superior to 1.96) indicate the presence of convergent validity. Lastly, it is possible to affirm the presence of discriminant validity given that the variances extracted by the components of the scale are superior to the squared correlation coefficients among these components.

Following the same procedure in the OCBs scale, items OCB4, OCB5 and OCB6 have been redefined which implies the elimination of the dimension relative to "civic conscience", found to be non-significant. Results confirm that this scale possesses adequate reliability and internal consistency as well as convergent and discriminant validity.

The organizational commitment scale is reduced to three items, OC3, OC4 and OC7, exhibiting good psychometric properties after the refinement. Satisfaction battery results indicate that once item S3 is eliminated (due to low consistency), the scale is reliable and valid. The service quality scale, on the other hand, presents certain problems concerning discriminant validity among its dimensions. After item SQ19 was eliminated due to lack of reliability, CFA estimation confirms the existence of the five theoretical dimensions. Although *Crombach's* α (0.934) suggests high scale reliability, the R^2 values (especially in the items related to "tangibility") and the extracted

MO	Market orientation
COMMIT	Organisational commitment
OCBs	Organisational citizenship behaviour
SQ	Perceived service quality
CUSTSAT	Customer satisfaction

Table II.
Variables

<i>MO</i>									
<i>Indicators</i>	<i>Customer orientation</i>			<i>Competitor orientation</i>			<i>Coordination</i>		
	<i>St. weights</i>	<i>CR</i>	<i>R²</i>	<i>St. weights</i>	<i>CR</i>	<i>R²</i>	<i>St. weights</i>	<i>CR</i>	<i>R²</i>
MO1	0.795	*	0.632						
MO3	0.909	8.726	0.826						
MO4	0.822	7.256	0.675						
MO5	0.741	6.894	0.550						
MO8				0.621	*	0.386			
MO9				0.729	7.249	0.531			
MO10				0.843	7.766	0.711			
MO12							0.855	*	0.730
MO13							0.904	4.758	0.818
<i>Indicators</i>	<i>Custsat</i>						<i>Commit</i>		
	<i>St. weights</i>	<i>CR</i>	<i>R²</i>				<i>St. weights</i>	<i>CR</i>	<i>R²</i>
S1	0.838	64.430	0.682				OC3	0.575	6.537
S2	0.791	56.206	0.580				OC4	0.779	9.198
S4	0.714	49.537	0.495				OC7	0.805	*
S5	0.826	62.523	0.659						0.647
S6	0.672	45.579	0.445						
S7	0.833	63.797	0.675						
S8	0.814	62.070	0.654						
S9	0.871	*	0.757						
<i>OCBs</i>									
<i>Indicators</i>	<i>Sportsmanship</i>			<i>Conscience</i>			<i>Altruism</i>		
	<i>St. Weights</i>	<i>CR</i>	<i>R²</i>	<i>St. weights</i>	<i>CR</i>	<i>R²</i>	<i>St. Weights</i>	<i>CR</i>	<i>R²</i>
OCB1	0.690	*	0.476						
OCB2	0.950	11.155	0.903						
OCB3	0.825	10.938	0.681						
OCB7				0.557	*	0.410			
OCB8				0.847	5.773	0.718			
OCB9				0.810	5.429	0.656			
OCB10							0.927	*	0.860
OCB11							0.855	11.089	0.730
OCB12							0.697	11.155	0.486
<i>SQ</i>									
<i>Indicators</i>	<i>Tangibility</i>			<i>Reliability</i>			<i>Responsiveness</i>		
	<i>St. weights</i>	<i>CR</i>	<i>R²</i>	<i>St. weights</i>	<i>CR</i>	<i>R²</i>	<i>St. weights</i>	<i>CR</i>	<i>R²</i>
SQ1	0.545	24.556	0.357						
SQ2	0.588	25.844	0.394						
SQ3	0.694	24.481	0.482						
SQ4	0.579	*	0.335						
SQ5				0.705	44.294	0.497			
SQ6				0.744	47.238	0.553			
SQ7				0.774	49.637	0.600			
SQ8				0.798	33.401	0.637			
SQ9				0.553	43.678	0.306			
SQ10				0.697	*	0.486			
SQ11							0.644	28.43	0.414
SQ12							0.817	32.24	0.667
SQ13							0.536	*	0.387

Table III.
Measurement models

(continued)

Indicators	Assurance			Empathy			R ²	Consequences of market orientation
	St. weights	CR	R ²	St. weights	CR			
SQ14	0.836	43.68	0.699					
SQ15	0.788	41.64	0.621					
SQ16	0.768	40.74	0.589					
SQ17	0.671	*	0.450					
SQ18				0.818	44.29	0.669		
SQ20				0.852	45.71	0.727		
SQ21				0.642	35.51	0.412		
SQ22				0.700	*	0.490		

Note: * Initial weight was fixed at one

Table III.

variance for this dimension (0.401), pose problems of internal consistency. Also, although an adequate convergent validity is observed, discriminant validity among the dimensions linked to “reliability”, “responsiveness” and “security” is not evident (Table IV).

Structural model

The structural model contains five latent variables, four endogenous variables (COMMIT, OCBS, SQ and CUSTSAT) and one exogenous variable (MO). Following the recommendations of other investigations (Babin and Boles, 1998; MacKenzie *et al.*, 1998) and given the great number of items, values for each of the constructs involved have been averaged into a single indicator.

The proposed model (Figure 2) requires the homogenization of the data regarding the three groups of individuals considered in the study: branch directors, employees and customers. Data has been grouped by branch, reducing the sample to 94 sets of responses. A detailed analysis determining the average and the variance of every indicator preceded this grouping. Therefore, every piece of office information related to its director (on the MO), the employees (average value of the employees of an office for the COMMIT and OCBS variables) and the customers (average value of the customers of an office for the SQ and CUSTSAT variables) has been included.

The multi-normality test recommends a maximum likelihood estimation method for the estimation of the structural model. According to the results achieved, it is necessary to eliminate the relationship between OCBS and CUSTSAT due to lack of statistical significance. The new re-specification of the model shows a more satisfactory adjustment as can be seen in Table V.

Discussion and implications for management

The results achieved in this research represent significant contributions both from a theoretical perspective as well as for management in the service industry. Regarding the consequences of MO on the internal environment of a company, results confirm a positive test of hypotheses *H1* and *H2*, although the first of these in a weaker than expected form (Levy, 1997). These results prove the importance of analyzing the mechanisms facilitating the establishment of a business strategy as well as the role of the employees in this task. From a theoretical perspective, these findings reinforce the research position stressing the role of the employees in the MO relationship and the operational level of the business incorporating new evidence into this emerging field of study.

	Competitor Orientation	Coordination	Extracted variance	R^2
<i>MO</i>				
$\alpha = 0.815$	0.573	0.115	0.722	0.911
Customer orientation		0.153	0.605	0.819
Competitor orientation			0.800	0.888
Coordination			0.570	0.797
<i>MO</i>				
<i>OCBs</i>				
$\alpha = 0.804$		<i>Altruism</i>	<i>Extracted variance</i>	R^2
Sportsmanship	<i>Conscience</i>	0.231	0.790	0.920
Conscience			0.741	0.890
Altruism		0.740	0.820	0.930
<i>OCBs</i>			0.523	0.617
		<i>Service quality</i>		
	<i>Reliability</i>	<i>Responsiveness</i>	<i>Empathy</i>	R^2
$\alpha = 0.934$	0.418	0.519	0.431	0.695
Tangibility		0.636	0.522	0.849
Reliability			0.556	0.709
Responsiveness			0.538	0.851
Assurance				0.842
Empathy				0.874
<i>SQ</i>				
Organisational commitment ($\alpha 0.785$)				0.777
Customer satisfaction ($\alpha 0.914$)				0.929

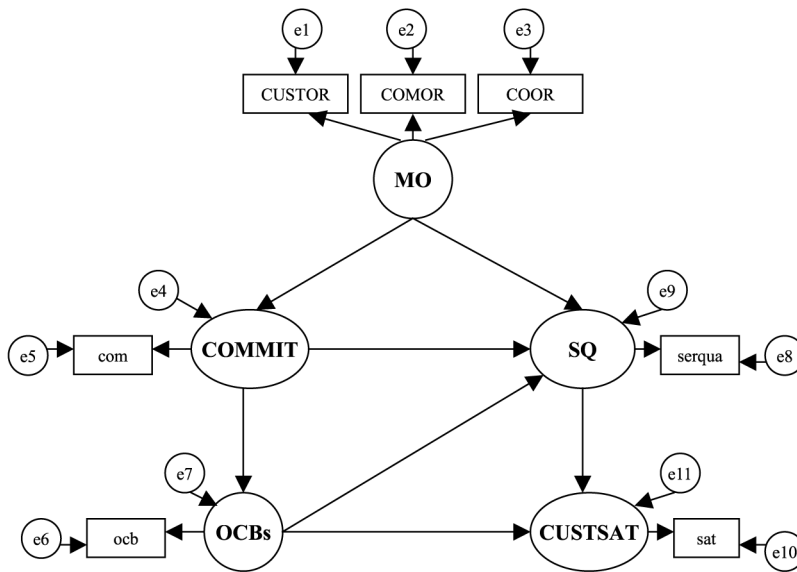


Figure 2.
Proposed structural model

<i>Structural model</i>	$X^2=115.558$ ($p = 0.000$); $df = 62$; $GFI = 0.845$; $RMR = 0.041$;		
Overall model fit	$RMSEA = 0.096$; $CFI = 0.850$		
<i>Service quality</i>	<i>St. weights</i>	<i>CR</i>	$R^2_{0.051}$
Tangibility	0.700	7.810	0.490
Reliability	0.928	*	0.861
Responsiveness	0.764	10.099	0.584
Assurance	0.936	16.896	0.875
Empathy	0.843	12.483	0.711
<i>OCBs</i>			0.107
Sportsmanship	0.474	3.515	0.224
Conscience	0.598	*	0.358
Altruism	0.824	3.637	0.679
<i>MO</i>			
Customer Orientation	0.556	6.422	0.310
Competitor Orientation	0.996	*	0.993
Coordination	0.321	3.256	0.103
COMMIT	0.995	*	0.019
CUSTSAT	0.971	*	0.958
<i>Causal relations</i>			<i>Hypotheses</i>
COMMIT $\leftarrow$ MO	0.139	1.342	$H1$
OCBs $\leftarrow$ commit	0.328	2.441	$H2$
CS $\leftarrow$ MO	0.226	2.187	$H3$
CUSTSAT $\leftarrow$ CS	0.977	17.802	$H4$
CS $\leftarrow$ OCBs	-0.073	-1.543	$H5$
CUSTSAT $\leftarrow$ OCBs	ns*	-0.575	$H6$

Note: *ns, non significant

Table V.
Structural model results

The weakness of the first relationship might be explained because all organizational change – which the development of a market oriented culture implies – requires a lot of time. Hence the employee must forget part of his past conduct and learn new forms of behaviour, MO acting as a source of socialization (Kelley, 1990). Therefore, the temporal scope for the dissemination of MO in the firm may influence the weakness of this relationship. Additionally, just because the employees know the so-called “rules of the game” does not mean that they agree with them at all times. This could lead to a certain discrepancy between perceived and desired values (of both the employee and the business) about the existing orientation of the organization. In any case, findings reveal the importance of coordinating a company’s internal activities with the aim of continuously creating value for the customer. In other words, it is necessary to develop an internal and external orientation towards this aim that makes the establishment of the true MO philosophy possible. According to these arguments, and as an important implication for business management, the need for greater concern on the part of business management to encourage a suitable organizational climate and behaviour that is truly oriented towards the employees’ market is fostered. In this way, organizational practices should be emphasized since they are an instrument that transfers corporate values and norms (Gatewood and Riordan, 1997).

In addition, the attitude of the people who make up the organization – management and employees – represents an essential factor in the development of a “true MO” insofar as the company leaders have the power to shift organizational systems and structures in favour of the employees. The latter then create the climate aimed at offering higher value to the customer. The role of management is fundamental to overcome organizational inertia as well as employee’s resistance to changes intended to motivate everyone in the company towards customer satisfaction. Furthermore, the employee must have a positive attitude about learning norms and values, although a large part of this attitude can be controlled by the management via recruitment, communication, motivation and market oriented training. In summary, not only is a MO culture required but also an appropriate climate must be created to support its development through socialization of the employees – absence of discrepancy between company and employee. A positive attitude will develop towards the job *vis-à-vis* trying to achieve customer satisfaction.

Concerning the consequences of MO on the business’ external environment, hypotheses *H3* and *H4* have been positively verified. Again, there are significant contributions from these results on a theoretical level as well as in terms of implications for service industry management. From a theoretical perspective, this study looks more deeply at the positive correlation between MO and perceived service quality, showing the need for connecting these two different organizational environments.

As shown previously, competitive advantage in the service industry is fundamentally related to intangible assets (Kaplan and Norton, 2001). For this reason, given the high level of customer commitment to the service process, it is utterly necessary to develop close relationships between the business and its customers whereby enabling the business to increase the value perceived by their customers. Findings confirm that the firm’s MO encourages this relationship. Value creation for the customer has a direct consequence: customer satisfaction and loyalty. Indeed, customers may become true agents for the firm in the marketplace through referrals (Reichheld and Sasser, 1990). A basic requirement for achieving this perception in the

customer is that MO be disseminated throughout the prevailing culture of the firm. Additionally, this chain of relationships entails an increase in the company's profitability which establishes the mediating role of perceived service quality and satisfaction in the complex relationship between MO and business performance.

A market oriented business is continually studying how to improve its services in order to reach a sustainable competitive advantage. This implies that on an operational level the firm has to respond rapidly and anticipate the future needs and preferences of its customers. Consequently, MO contributes to continuous education and to an accumulation of knowledge that enables the creation of higher value. In the service industry this relationship is even more accentuated. Thus, service industry businesses that are more market oriented and possess greater knowledge of their customers largely structure their service subject to their needs and preferences (Chang *et al.*, 1999). This results in the creation of an exceptional value for these businesses.

Additionally the positive relationship between MO and perceived service quality suggests that the efforts carried out by business managers to focus on their customer activities are rewarded by customers' evaluation of the received services. Nevertheless, it must be pointed out that this relationship could be stronger whether the appropriate level of a firm's MO actually is that which the customers thought it should be.

There are important implications for service managers. Hence businesses that are more market oriented will obtain higher levels of customer perception of service quality, achieving a sustainable competitive advantage. There is a need to increase the level of knowledge of the customers' needs and preferences so as to adjust service assets to customer expectations. In order to do so, MO sets forth the essential guidelines to be established in the firm at an operational level, increasing the efficiency and effectiveness of its marketing actions.

Finally, on the topic of the relationship between the internal and external environments of the organization, this study does not confirm the proposed working hypotheses. Hypothesis *H6*, proposing the relationship between OCBS and customer satisfaction, is not significant; also hypothesis *H5* presents an inverse sense to that proposed. There are several possible arguments that can help to justify these results.

In the first place, the high rates of employee turnover among the different branches figuring in our study means that long-standing employees share offices with those who have been only recently hired. This situation does not only affect the customers who see the contact person in their branch continuously changing, but also affects the "service climate" in the office and the relationships among the employees. For this reason, efforts made by employees in their job may not be rewarded with an appropriate perception by customers of service quality.

To study this situation in more depth, two large groups of bank branches were distinguished: those whose perceived service quality scores were high versus those with middle or low scores. It can be observed how in the second group of bank branches the relationship between OCBS and perceived service quality was negative due, essentially, to the "helping behaviour" dimension. These results coincide with evidences of earlier investigations which have confirmed that this dimension maintains a negative relationship not only with service quality but also with the firm's profitability. Yoon and Suh (2003) argue that sportsmanship was positively related to customers' perceived service quality, while altruism was marginally significant. Employees' sportsmanship can enhance the quality of service both directly and

indirectly. Good sportsmanship behaviour creates a positive, cooperative organizational climate that can indirectly spill over onto the customer. Nevertheless, within the group of branches where customers perceived service quality this relationship is significant and positive (+0.231, p value 0.1). These results lead us to consider the existence of certain characteristics specific to each branch (years there, size, location, etc.) that are moderating this relationship. Along with these thoughts, two more aspects that could have notably influenced these results cannot be overlooked: first, the cross-sectional character of the study which makes it difficult to work with constructs related to long-term results and, secondly, the manner in which the information has been collected. Employees themselves reported about their behaviour in such a way that their need to obtain social recognition may have biased their responses noticeably.

Despite the weakness of some results, subject to the limitations of our study, the relationship between OCBS and perceived service quality is quite notable. The service industry must be aware that encouraging extra-role behaviour in the firm constitutes a significant mechanism to deliver service quality. Certainly, the organization has little control over this type of behaviour, but it is possible to encourage a "service culture" to increase the commitment of the employees to the company. Hence, mechanisms such as rewards (economic or otherwise), personnel recruitment process and empowerment are entirely valid tools to facilitate the achievement of such goals.

Limitations of the study

Limitations of our study can account for the anomalous relationships that have been identified. First, the cross-sectional nature of the study could have been an obstacle to revealing short-term answers. The design of this investigation, by nature causal and cross-sectional, cannot assure in a strict way the correctness of associative variance, temporality and absence of spurious association. In addition, the empirical study focused on one particular case in the service industry – banking – hindering the generalization of results. In the same way, although the model's global adjustment is adequate, the existence of many other variables that were not considered and that could influence the relationships in study should not be forgotten. Finally, SEM supposes the linearity of the causal relationship being studied, and the development strategy of the model limits conclusions about the empirical base under consideration.

These limitations also provide some ideas for conducting future research projects. One alternative is to measure MO by different informants, e.g. management and customers. This would help to identify discrepancies in their perceptions. In this line, the distinction between MO as a culture and MO as a behaviour could be interesting since they have been considered as complementary measurement scales – as suggested by Varela González *et al.* (1996) and Álvarez *et al.* (2000). Also, the design of new measurement scales is relevant for those constructs whose indicators turned out to be not consistent enough. Next, and considering the emphasis placed by the development of a suitable organizational climate, empirical studies may contemplate the formal mechanisms used by management to influence employee behaviour, e.g. training, selection, empowerment, reward, etc. Moreover, employees and managers' perceptions of such organizational practices would facilitate the analysis of results and the creation of more precise conclusions. It would also be interesting to study the different facets of organizational commitment – for example, affective, continuance

and normative (Meyer and Allen, 1991) – and their relationship with OCBS. Furthermore, it would be convenient to investigate the motives that cause an individual to exercise extraordinary dedication since, as suggested by Schnake (1991), the outcomes of “pro-social” motivation are significantly different from those of “political” motivation. Along these same lines, it might be possible to use sources of information other than the employee himself (Van Dyne and LePine, 1998). Finally, longitudinal investigations and the study of the proposed model in different service industries can yield interesting insights on the topic.

As a final comment, work by Lewis and Gabrielsen (1998) reveals that in the service sector today – and specifically in the financial sector – relationship marketing is overcoming the deficient role of the traditional marketing-mix as a competitive base. The importance of long-term relationships with customers requires a culture encouraging responsibility in all of the members of a business towards the creation of value for the customer, or, an MO. In the same line, we address the idea of Harris (1999) stating that the most important barrier in the maintenance and development of MO lies in the members of the business, both management and employees. Organizational processes and structures are not true obstacles to the development of MO as an organizational behaviour since they can be modified by the management. At the same time, employees can develop market oriented behaviours via socialization. Socialization of the employee is a continual process that can be found at different stages in the individual’s life (Louis, 1980). The existence of a specified level of market oriented behaviour is evidence of the socialization of the members of the business although this behaviour also serves as a source of that socialization.

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